The acute sensitivity to criticism only increased after Shastri took over as prime minister. Shastri had nowhere near the political standing that might have allowed Nehru to absorb and survive any political blows directed at the government had India made further concessions to get American aid. In his inaugural speech Shastri stressed that while economic development was his priority, the threat from China "left us with no choice" but to continue the defense expenditures that were putting a heavy burden on the economy.[146] During negotiations for the military assistance package, Chavan asserted that Shastri neither would nor could agree to any provisions limiting force goals or further constraining foreign exchange expenditure on defense—partly because he would not be able to sell such restrictions to the Indian cabinet.[147]

Diversification

In addition, the Indian government was neither able nor willing to renounce or even limit its Soviet option to the extent that would have been required for a five-year deal with the US. Military assistance agreements with Moscow were indeed a major reason that the MoU with the US did not go farther than it did, especially on the question of fighter jets. During negotiations on the MoU, senior Indian officials made it clear that India would not stand down from negotiations to acquire more MiGs. Chavan noted that India wanted American F-104s in addition to the Soviet jets—not instead of them.[148]

Across the Johnson administration, however, it was clear that as long as India had a deal in play to acquire more MiGs, no supersonic deal with the US was possible. To begin with, US officials did not see supersonic jets as necessary for defense against China. Moreover, given India's more pressing defense and development needs, the money would be better spent elsewhere. Finally, officials believed that if both the US and the Soviet Union supplied India with fighter jets, Pakistan would demand even more such aircraft from the US.[149]

After the MoU, American policymakers did consider making a competing aircraft offer—conditioned on India not purchasing MiGs. Even as senior policymakers were assessing the specifics of a comprehensive air defense package to offer, reports emerged that the MiG deal had been finalized. The Indian cabinet secretary said India was not likely to renege